



Understanding Cryptocurrency

Like any other currency, cryptocurrencies can also be used to buy goods and services. You can also trade them for profit. Based on the technology of 'blockchain,' their decentralised nature makes them theoretically immune to the old ways of government control and interference



(Credit: <https://upload.wikimedia.org>)



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Cryptocurrency is a type of currency that uses digital files as money. Reserve Bank of India banned the use of cryptocurrency in India in April 2018, but the Supreme Court revoked the ban on March 4, 2020. Moreover, the current lockdown has spurred interest in this field, and today over five million Indians are its active users.

Such files are created using the same methods that are used in cryptography (the science of hiding information). Encryption techniques are used to regulate the generation of units of currency and verify the

transfer of funds operating independently of the central bank.

The first such currency, Bitcoin, faced a lot of criticism and was considered a scam. But over time, when experts from various sectors started understanding Bitcoins and the underlying technology behind them, they understood the power of digital currencies and started to look at them in a positive way. Bitcoin has become the de facto standard for cryptocurrencies.

Digital signatures can be used to keep the transactions secure and let other people check that these transactions are real. Like